

Business Law

Lecture 5

Contract Law III

Possibilities of contract termination II

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Business Law
Lecture 5
Contract Law III

AGENDA
WITHDRAWAL
CANCELLATION
DISSOLUTION

- Right to alter the contract without specific reason (e.g. defect of the item not required)
- EU directive transformed into German Law
 - Continuous EU legislation on consumer protection
- Only applicable in the relationship between consumer (§ 13 BGB) and trader (§ 14 BGB)
 - One of many systems that benefit the consumer
 - § 477 BGB: reversal of burden of proof
 - Standard Business Terms, § 310 III BGB
 - Favorable places of jurisdiction



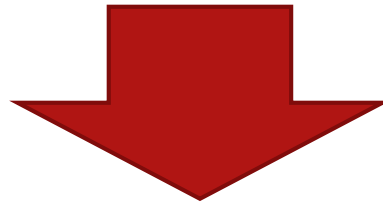
Withdrawal – Overview

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- Protecting consumers in certain situations where they are deemed to require more protection
 - High financial risks
 - Structural disadvantages or information deficits

§§	Situation
356	off-premises contracts and distance selling contracts (§ 312g, b, c BGB)
356a	timeshare, long-term holiday product, brokerage contracts, and exchange system contracts
356b	consumer credit agreements
356c	contracts for delivery by instalments
356d	free loan agreements and free financial assistance
356e	consumer building contracts

- Protecting consumers in certain situations where they are deemed to require more protection
 - High financial risks
 - Structural disadvantages or information deficits



- Trader needs to provide additional information on the consumer's rights, § 312d BGB
- Consumer has right of withdrawal for (in general) 14 days, § 312g BGB

Withdrawal – Structure for solving cases

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1. Right of withdrawal, §§ 355, 312b,c BGB



2. Declaration of withdrawal, § 355 I, II BGB



3. Effects: Restitution / other obligations, §§ 355 III, 357 BGB

1. Right of withdrawal

a. Personal scope of application

- Consumer, § 13 BGB; extension to start ups, § 513 BGB (loan agreement)
- Trader, § 14 BGB

b. Material scope of application

- Right of withdrawal must be granted by law, § 355 I 1 BGB
- Important:
 - Off premises contracts, § 312b BGB
 - Distance selling contracts, § 312c BGB

§ 312c

Distance contracts

(1) Distance contracts are contracts for which the trader, or a person acting in the trader's name or on his behalf, and the consumer exclusively avail themselves of means of distance communication in negotiating and concluding the contract, except where the conclusion of the contract does not take place in the context of a sales or service-provision scheme organised for distance sales.

(2) Means of distance communication within the meaning of this Code are all means of communication which can be used to initiate or to conclude a contract, without requiring the simultaneous physical presence of the parties to the contract, such as letters, catalogues, telephone calls, faxes, emails, text messages sent via the mobile telephone service (SMS) as well as messages broadcast and digital services pursuant to § 1 (4) 1. of the Digital Services Act.

§ 312b

Off-premises contracts

(1) Off-premises contracts are contracts

1. that are concluded with the simultaneous physical presence of the consumer and of the trader, in a place which is not the business premises of the trader,
2. for which an offer was made by the consumer in the same circumstances as referred to in number 1,
3. that are concluded on the business premises of the trader or through any means of distance communication, but where, immediately prior to such conclusion, the consumer had been personally and individually addressed, in a place which is not the business premises of the trader, in the simultaneous physical presence of the consumer and the trader, or
4. that are concluded during an excursion organised by the trader or with the trader's assistance, with the aim of promoting goods or services to the consumer and entering into the corresponding contracts with him.

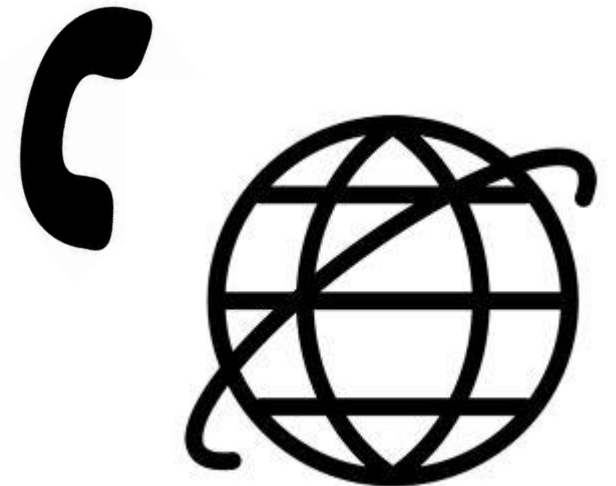
1. Right of withdrawal

b. Material scope of application

- Distance selling contracts, § 312c BGB
 - Consumer can't inspect what he purchases
- Off premises contracts, § 312b BGB
 - Surprise effect on consumer
 - Consumer does not need to expect legally binding transactions at any premise

c. No exclusion by § 312g II BGB:

- Cases where right to withdrawal isn't reasonable
- Custom made goods, quickly perishable goods
- No other forms of exclusion possible



2. Declaration of withdrawal

a. No specific form

- Declaration to trader, § 355 I 2 BGB
- The decision to withdraw must be clear, § 355 III BGB
- Justification not required, § 355 IV BGB

b. In time

- Period begins with the conclusion of the contract, § 355 II 2 BGB
 - Information duties, § 356 I BGB, Art. 246a § 1 II 1 No. 1 EGBGB (model form)
 - Receipt of the goods, § 356 II Nr. 1 a) BGB (ability to inspect performance)
- Period of time with proper instruction 14 days, § 355 I BGB
 - Otherwise + 1 year, § 356 III 2 BGB

- Withdrawal of the Dol of the consumer, § 355 III 1 BGB
- Original contract isn't binding anymore
- Restitution of received performance, §§ 355 III 1, 357 I BGB

- Consumer may have to
 - Bear costs of shipping, § 357 V BGB
 - Pay compensation for deterioration of goods not necessary to check its function, § 357a BGB
 - Less strict than § 346 et seq. BGB

Withdrawal – Questions?

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- Right to alter a contract
- Special form of termination for continuing obligations, e.g.
 - Rental agreement, § 535 et seq. BGB
 - Service or employment agreement, §§ 611 et seq., 611a BGB
 - Loan agreement, § 488 et seq. BGB
 - Civil partnership, §§ 705 et seq. BGB
- Termination for the future only (*ex nunc*)
- §§ 346 – 348 BGB not applicable
 - Retrospective approach isn't suitable for continuing obligations
 - Different system

Cancellation – Overview

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Type of continuing obligation	Provisions concerning cancellation
Rental agreement	§§ 543, 555e, 561, 568 et seq., 573 et seq., 575a, 576, 580 et seq. BGB
Employment agreement	§§ 622 et seq., 626 BGB, Protection against dismissal act (KSchG)
Service agreement	§§ 621 et seq., 627 et seq. BGB
Partnership	§§ 723 – 725 BGB
Consumer contract regarding digital products	§ 327o (c,m,r) BGB – hybrid of revocation and cancellation

- Wide range of provisions tailored to the special features of contract types
- One basic provision with main features: § 314 BGB
 - Subordinate to special provisions above
 - Regularly the special provisions above are applicable exclusively

Cancellation – Requirements

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§ 314 BGB

Termination, for a compelling reason, of contracts for the performance of a continuing obligation

(1) Each party may **terminate a contract** for the performance of a **continuing obligation** for a **compelling reason without a notice period**. There is a compelling reason if the terminating party, taking into account all the circumstances of the specific case and **weighing the interests** of both parties, **cannot reasonably be expected to continue the contractual relationship** until the agreed end or until the expiry of a notice period.

(2) If the compelling **reason consists in the breach of a duty under the contract**, the contract may be terminated only after the **expiry without result of a period specified for relief or after a warning notice without result**. § 323 sec. 2 nr. 1 and 2 applies, with the necessary modifications, as regards the dispensability of specifying a period for such relief and as regards the dispensability of a warning notice. Specifying a period for relief and issuing a warning notice can also be dispensed with if special circumstances are given which, when the interests of both parties are weighed, justify immediate termination.

(3) The person entitled may give **notice only within a reasonable period after obtaining knowledge of the reason** for termination.

Cancellation – Structure of § 314 BGB

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1. Compelling reason



2. Expiry of period for relief or warning notice without result



3. Declaration of cancellation within reasonable period



4. Effects: Termination ex nunc without notice period

1. Compelling reason

- Reason for cancellation is necessary to terminate a continuous obligation with specified expiry date
 - Extraordinary cancellation: compelling reason, grave violation
 - Cancellation for compelling reason can't be excluded

- Continuous obligations for an indefinite period
 - In general: cancellation without reason
 - Period of notice

1. Compelling reason

■ Weighing of interests:

- Taking into account all the circumstances of the specific case and weighing the interests of both parties, § 314 I 2 BGB
- Type of contract
- Gravity of breach of contract
- Past history of the contracting parties
- Culpability
 - Not required
 - May be taken into account

■ Ultima ratio, last resort



2. Expiry of period for relief or warning notice without result

- Breach of duty under the contract
- Second chance, warning
- May be dispensable acc. to § 323 II BGB
- Duration of period depends on circumstance

3. Declaration of cancellation within reasonable period

- § 314 III BGB: within reasonable period after knowledge of reason for cancellation
 - Relieving contract partner from uncertainty
 - Duration depends on type of contract

- Termination of contracts *ex nunc*
 - Extraordinary cancellation for compelling reason
 - Contract ends immediately without period of notice
 - Special cases: reasonable phasing-out period may be possible
 - Ordinary cancellation
 - Contract ends after expiry of period of notice
- Contract remains effective for the past
- No restitution of exchanged performances
- Combination of cancellation and damages is possible, § 314 IV BGB

Investor F is looking for a good opportunity to invest his capital into start up businesses. S is founding an online start up for business attire and desperately needs funding. F and S agree on a loan of 500.000€ to get the enterprise off the ground which S has to repay monthly for three years. In return, F is granted a right of co-decision in every decision on the business's orientation.

After a few months a pandemic starts and S's turnovers plummet as everybody is working from home wearing sweatpants. Instead, savvy S starts to sell strong alcoholic drinks in his online shop. As F checks on his investment he discovers that he was excluded from this business decision. F confronts S who goes public and rants about F as being a "tyrannical idiot lacking business sense" (which is objectively untrue) and starting an online petition to exclude F's co-decision rights.

F is fed up and wants to cancel the loan agreement. Is this possible?

- Loan agreement, § 488 et seq. BGB: continuing obligation
- § 314 BGB is applicable, no special provision (§ 490 III BGB)
 - Compelling reason?
 - Grave lies and insults online
 - § 241 II BGB: duty to respect rights and interests of contracting party
 - Period of relief or warning notice?
 - Very grave breach of duty
 - Loan agreement for start up is based on mutual trust
 - ▶ § 323 II Nr. 3 BGB makes warning notice dispensable
 - Declaration of cancellation
- Cancellation of contract *ex nunc*:
 - F is repaid
 - F gets prepayment penalty as compensation for lost interest

Cancellation – Questions?

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- Private autonomy
 - Freedom to conclude contracts
 - Freedom to dissolve contracts
- Dissolution
 - = Agreement to terminate a contract
 - Separation agreement
 - Not a right to alter a contract
- Replacement for cancellation
 - Often in continuing obligations with high statutory protection
 - Rental agreements, employment agreements

Cancellation	Dissolution
Strict rules (unilateral)	Looser rules (consensual)
Compelling reason	No reason required
Period of notice	Incentives for both sides

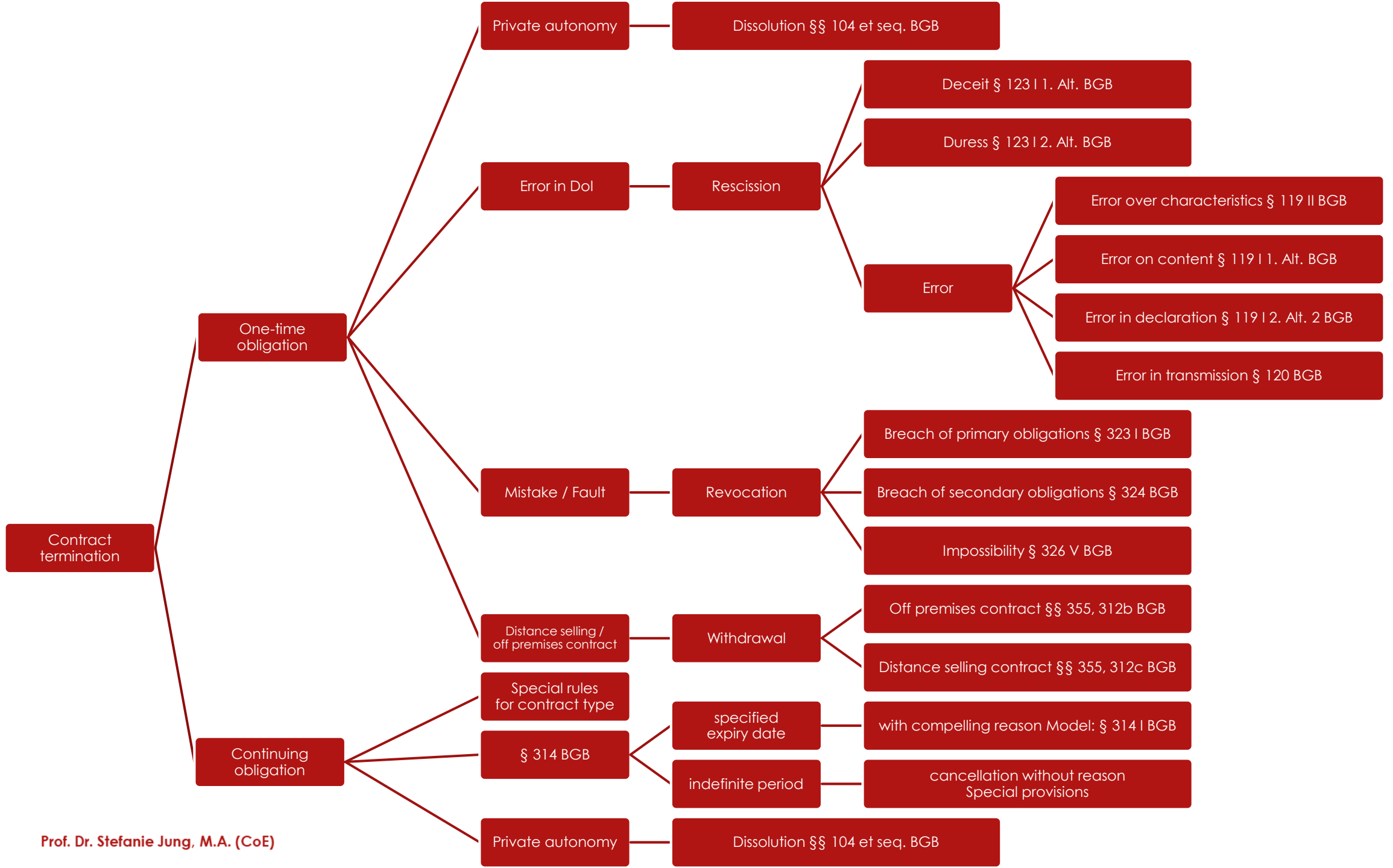
- Employment agreements:
 - Often hard to cancel; easier way?
 - Incentives for both sides
 - Severance pay, paid leave
 - Non-competition clause
- Dissolution agreement:
 - §§ 104 et seq. BGB
 - Offer and acceptance
 - Unlawful duress?
Rescission acc. to § 123 BGB

Dissolution – Questions?

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Quiz



What are the differences and similarities between withdrawal and revocation?

What can be taken into account when arguing that there is a compelling reason for cancellation?